



East African Cables

Our Ref: EAC/MD-FA/077/08/18

23 August 2018

Geoffrey Odundo
Chief Executive Officer
Nairobi Securities Exchange
55 Westlands Road
NAIROBI

Dear Mr. Odundo,

RE: 2018 HALF YEAR UNAUDITED GROUP RESULTS

Enclosed herewith are the unaudited group results for the half year ended 30th June 2018 which will be published in the local dailies tomorrow 24th August 2018.

Yours sincerely
East African Cables Plc.

PAUL MUIGAI
CHIEF EXECUTIVE OFFICER

Encl.



INTERIM FINANCIAL STATEMENTS

UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2018

The Board of Directors of East African Cables Ltd announces the unaudited results for the six months ended 30th June 2018

Condensed Statement of Comprehensive Income for the six months ended 30 June 2018

	Group 2018 Kshs'000	Group 2017 Kshs'000	Company 2018 Kshs'000	Company 2017 Kshs'000
Turnover	872,577	1,470,026	735,021	1,321,261
Loss from operating activities	(140,193)	(84,620)	(43,745)	(203)
Interest expense	(279,589)	(233,649)	(264,134)	(216,958)
Foreign exchange (losses) / gains	(13,777)	(13,537)	10,703	5,623
Loss before tax	(433,559)	(331,806)	(297,176)	(211,538)
Income tax credit	130,171	99,359	89,189	63,461
Loss for the period	(303,388)	(232,447)	(207,987)	(148,076)
Loss from operations attributable to:				
Equity holders of parent company	(256,356)	(191,223)	(207,987)	(148,076)
Non-controlling interest	(47,032)	(41,224)	-	-
Loss for the period	(303,388)	(232,447)	(207,987)	(148,076)
Basic and Diluted Earnings per share (Kshs)	(1.01)	(0.76)	(0.82)	(0.58)

Condensed Statement of Financial Position as at 30 June 2018

	Group 2018 Kshs'000	Group 2017 Kshs'000	Company 2018 Kshs'000	Company 2017 Kshs'000
Assets				
Non-current assets	4,468,687	5,163,566	3,079,496	3,665,165
Current assets	1,925,808	2,126,742	1,656,185	1,924,546
Total assets	6,394,495	7,290,308	4,735,681	5,589,711
Equity and liabilities				
Share Capital	126,563	126,563	126,563	126,563
Reserves	1,032,446	1,670,749	760,702	1,274,972
Non-controlling interest	385,714	522,159	-	-
Non-current liabilities	1,067,470	1,371,634	964,464	1,194,793
Current liabilities	3,782,302	3,599,203	2,883,952	2,993,383
Total equity and liabilities	6,394,495	7,290,308	4,735,681	5,589,711

Condensed Statement of Cash flows for the six months ended 30 June 2018

	Group 2018 Kshs'000	Group 2017 Kshs'000	Company 2018 Kshs'000	Company 2017 Kshs'000
Cash generated from / (used in) operations	270,748	(74,436)	260,336	(83,620)
Income taxes paid	-	-	-	-
Cash generated from / (used in) operating activities	270,748	(74,436)	260,336	(83,620)
Cash used in investing activities	(2,572)	(18,443)	(594)	(15,620)
Cash (used in) / generated from financing activities	(277,418)	113,579	(253,089)	123,432
(Decrease) / Increase in cash and cash equivalents	(9,240)	20,700	6,653	24,192
Cash and cash equivalent at 1 January	219,494	45,186	53,779	29,036
Cash and cash equivalent at 30 June	210,252	65,886	60,432	53,228

Condensed Statement of Changes in Equity for the six months ended 30 June 2018

	Group 2018 Kshs'000	Group 2017 Kshs'000	Company 2018 Kshs'000	Company 2017 Kshs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserve	1,712,620	1,712,620	1,065,943	1,065,943
Revenue reserve	(565,995)	65,476	(305,786)	208,484
Exchange reserve	(114,724)	(107,892)	-	-
Total equity attributable to equity holders of company	1,159,009	1,797,312	887,265	1,401,535
Non-controlling interest	385,714	522,159	-	-
Total Equity	1,544,723	2,319,471	887,265	1,401,535

Commentary

In the period under review, the group generated KShs 271m from operations through strict working capital management and cost management. The cost management initiatives continue to bear fruits with overall expenses reducing by 13%. However, working capital remained a major challenge resulting to decrease in revenues and net earnings by 41% and 31% respectively. The Group continues to seek alternative financing arrangements to alleviate the working capital constraints in order to turn the business back to profitability.

Dividend

The directors do not recommend payment of interim dividend.

Outlook

The regional governments' support for local manufacturing continue to provide immense opportunities for our business. This coupled with the recent crack-down on counterfeits and substandard products has increased demand for our products within the region. The Board and Management are focused on completing debt restructure negotiations by end of the year in order to provide the much needed working capital to execute the outstanding order book. The prospects for the business look bright.

By Order of the Board

Virginia Ndunge

Company Secretary

Nairobi,

23rd August, 2018